

growing pains as it gains recognition, but increased research and brainpower in the field have benefited those planning for retirement and retirees alike. It is now clear that the financial circumstances facing retirees are not the same as for preretirees, calling for different approaches from traditional investment advice for wealth accumulation.

A mountain-climbing analogy is useful for clarifying the distinction between accumulation and distribution, as the ultimate goal of climbing a mountain is not just to make it to the top; it is also necessary to get back down. The skill set required to get down a mountain is not the same as that needed to reach the summit. In fact, an experienced mountain climber knows that it is more treacherous and dangerous to climb down a mountain. On the way down, climbers must deal with greater fatigue; they risk falling farther and with greater acceleration when facing a downslope compared to an upslope; and the way our bodies are designed makes going up easier than coming down.

Exhibit 1.1

The Mountain-Climbing Analogy for Retirement



Distribution—the retirement phase when you are pulling money from your accounts rather than accumulating wealth—is much like descending a